

Bank Guarantee Lifecycle Monitoring

An internal financial control over a silent, high-value exposure

3

escalation tiers

6

validation gates

8

dashboard panels

0

manual reminders

A control failure that leaves no trace

A guarantee that lapses does not break a reconciliation. No entry is passed, no balance moves, no exception is raised. The loss is discovered only when recovery is attempted — and found impossible.

100%

secured one day, unsecured the next — with no accounting event

0

days of grace once the claim period closes; the instrument extinguishes

1

keystroke error in an expiry date is enough to lose the claim window

Silent

no ledger, no ageing report and no trial balance will flag the failure

This is precisely the risk Section 134(5)(e) directs the board to control: safeguarding of assets, prevention and detection of error, and timely reliable information — all three fail together when a guarantee lapses unnoticed.

What the statute actually requires

The directors shall state that they have laid down internal financial controls to be followed by the company, and that such internal financial controls are adequate and were operating effectively.

Two separate assertions — design and operation. Both must be evidenced.

The explanation to the sub-section defines internal financial controls through five limbs:

- 1 **Safeguarding of assets**
- 2 **Prevention and detection of error and fraud**
- 3 **Accuracy and completeness of records**
- 4 **Adherence to company policy**
- 5 **Timely, reliable financial information**

A bank guarantee held by the company is an asset within the meaning of that provision — a contingent claim enforceable only inside a defined window, extinguishing automatically on expiry. Monitoring it is therefore not administrative housekeeping; it is the discharge of a statutory directors' assertion.

Each statutory limb, and the control that answers it

- | | | |
|---|---|---|
| 1 | Safeguarding of assets | Every live guarantee tracked to expiry and escalated in three stages. The claim period cannot close unnoticed. |
| 2 | Prevention and detection of error | Six validation gates reject chronologically impossible entries; unreadable dates are flagged, not ignored. |
| 3 | Accuracy and completeness of records | One register is the source of truth. Blank expiry dates and missing addresses surface as data quality exceptions. |
| 4 | Adherence to company policy | Notice wording, intervals and the invocation clause are system-generated. No operator can soften them. |
| 5 | Timely, reliable information | Value at risk by month, by bank and by vendor, produced on demand without manual compilation. |

Six findings that recur — and what now prevents them



Lapsed claim period

Three-tier escalation at 30 / 20 / 10 days



Weekend or holiday default

Rollback to the preceding business day



Unsecured mobilisation advance

Invocation clause in the final notice



Chronological inconsistency

$H \geq E$ and $M > H$ enforced at entry and at run



No audit trail of reminders

Immutable log: key, timestamp, mode, outcome

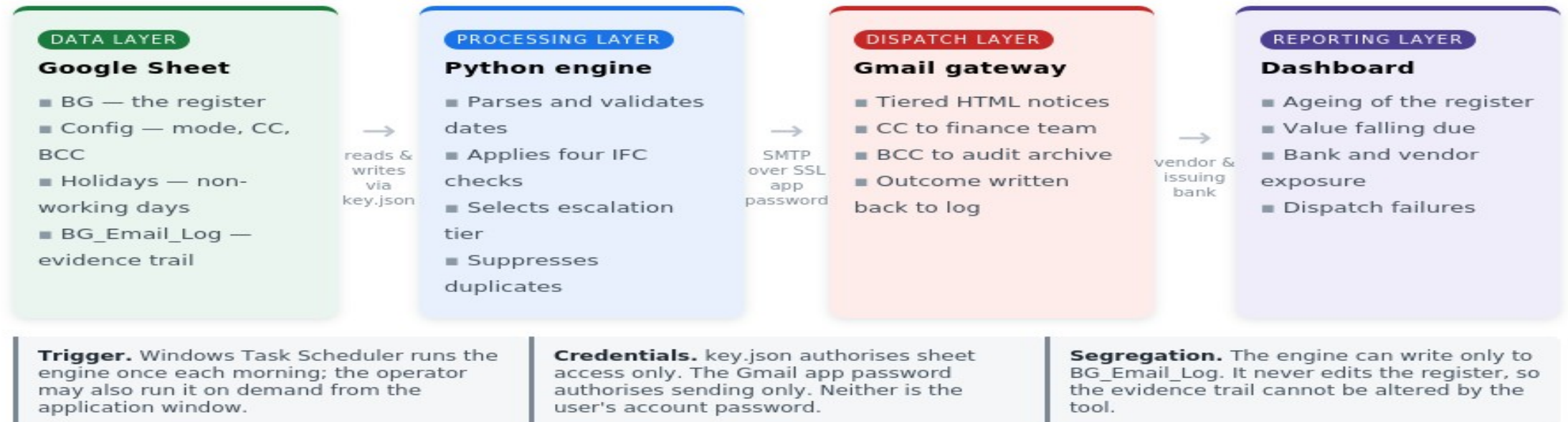


Concentration risk invisible

Bank-wise and vendor-wise exposure reporting

Every one of these was previously dependent on an individual remembering. None is now.

Four layers, each with a single responsibility



Data stays where the work happens

The register remains in Google Sheets, so commercial and finance teams need learn nothing new.

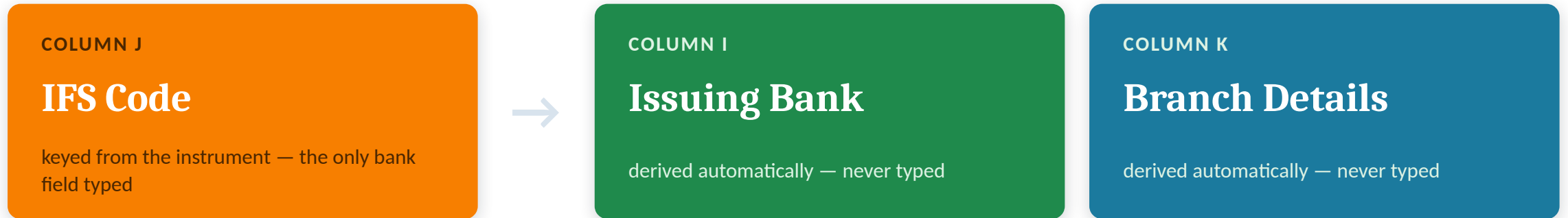
Processing moved in-house

The engine now runs on a company workstation, not on a personal account's trigger quota.

The engine cannot rewrite history

It has write access to the log alone. The evidence trail cannot be altered by the tool that creates it.

One keystroke, authenticated against the regulator



Lookup against IFSC-1 and IFSC-2 — the Reserve Bank of India's NEFT participant list, held inside the workbook



Errors fail loudly

A mistyped code returns no match — not a plausible but wrong bank name. The defect is visible the moment it is made.



Names are standardised

Bank names follow the RBI's own nomenclature, so exposure aggregates correctly instead of splitting across spelling variants.



Branches authenticated

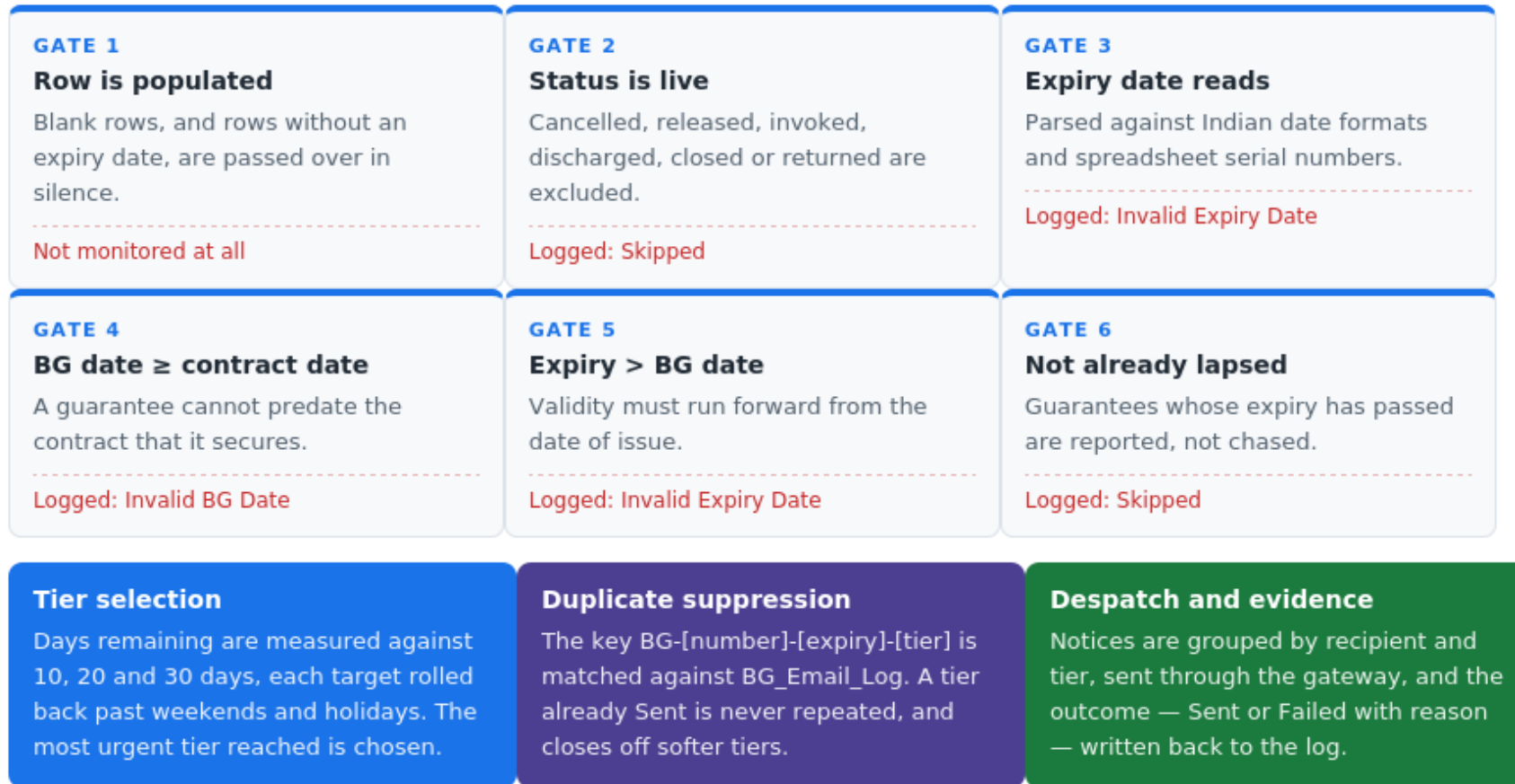
Identification comes from the regulator's list, not from the vendor's description of its own bank.



Reference data controlled

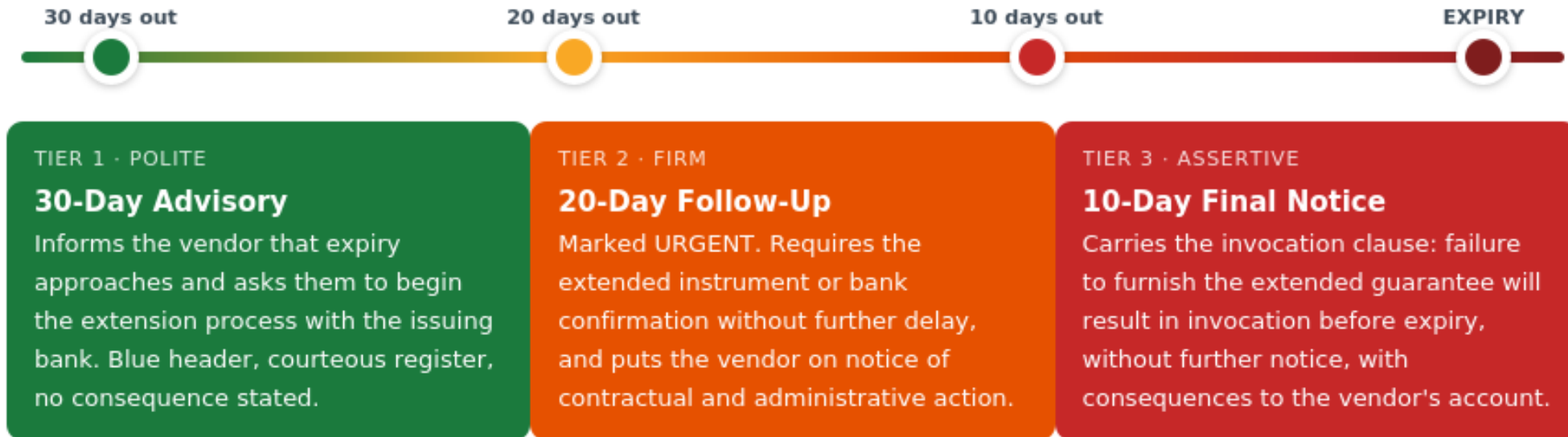
The master is refreshed half-yearly and after any amalgamation; the refresh date is recorded and tested at audit.

Nothing is despatched until six tests are passed



Cell validation can be bypassed by pasting. The engine therefore re-applies every test at each run — and logs each defect once, as evidence, not as noise.

Three notices, rising in force



Escalation is one-directional. The engine tests the most urgent tier first. Once a notice has been despatched and logged as Sent, no softer notice can follow it — a guarantee entered into the register twelve days before expiry receives the Final Notice and nothing else. **Weekend and holiday rollback.** Each target date is tested against the Holidays tab and the weekend; if it falls on a non-working day the despatch is stepped *backward* to the preceding business day, never forward, so the vendor always receives the full notice period.

Two rules that make the escalation defensible

1 Escalation runs one way

The engine tests the most urgent tier first. Once a notice is despatched and logged, no softer notice can follow it.

Previously, a guarantee entered twelve days before expiry received the firm 20-day notice and then, the next day, the polite 30-day advisory. A vendor could reasonably read that as a withdrawal of the earlier warning. Corrected in this version.

2 Rollback is always backward

Each target date is tested against the Holidays tab and the weekend, then stepped back to the preceding business day.

Consecutive holidays are handled one day at a time. The recipient therefore always receives no less than the stated notice period — never less because a due date happened to fall on a Sunday.

Duplicate suppression key: BG-[guarantee number]-[expiry date]-[tier] — matched against the log before every despatch, so no vendor is chased twice for the same tier.

What the migration changed, and what it cost

Before — Apps Script

Executed on Google's servers

Hourly, 08:00 to 18:00

Softer notice could follow a stronger one

Exceptions re-logged at every run

No reporting beyond the raw log

Bound to a personal Google account

After — Python engine

Executes on a company workstation

Once each morning, plus on demand

Escalation is one-directional

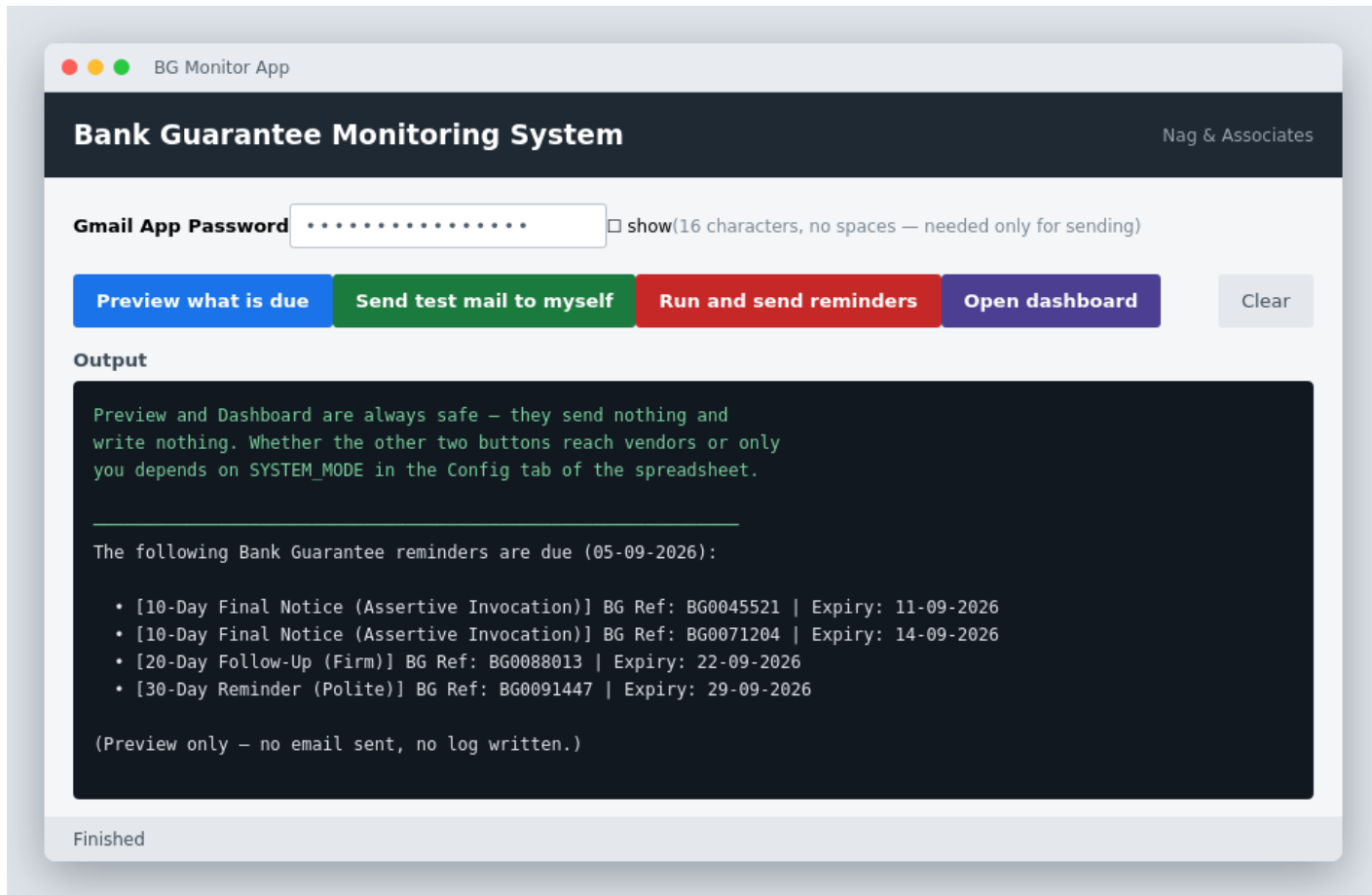
Each defect logged once, as evidence

Eight-panel management dashboard

Portable executable, no account dependency

The honest trade-off: Apps Script ran whether or not any machine was on. The Python engine needs its workstation powered at the scheduled hour — so the task retries after a missed start, and the dashboard reports the last run time, making an outage visible rather than silent.

Four buttons, and only one reaches a vendor



Preview

Always safe

Lists what is due. No mail, no log entry.



Test despatch

Safe

Routes everything to the administrator with a test banner.



Run and send

Reaches vendors

The live run. Confirmation demanded first.



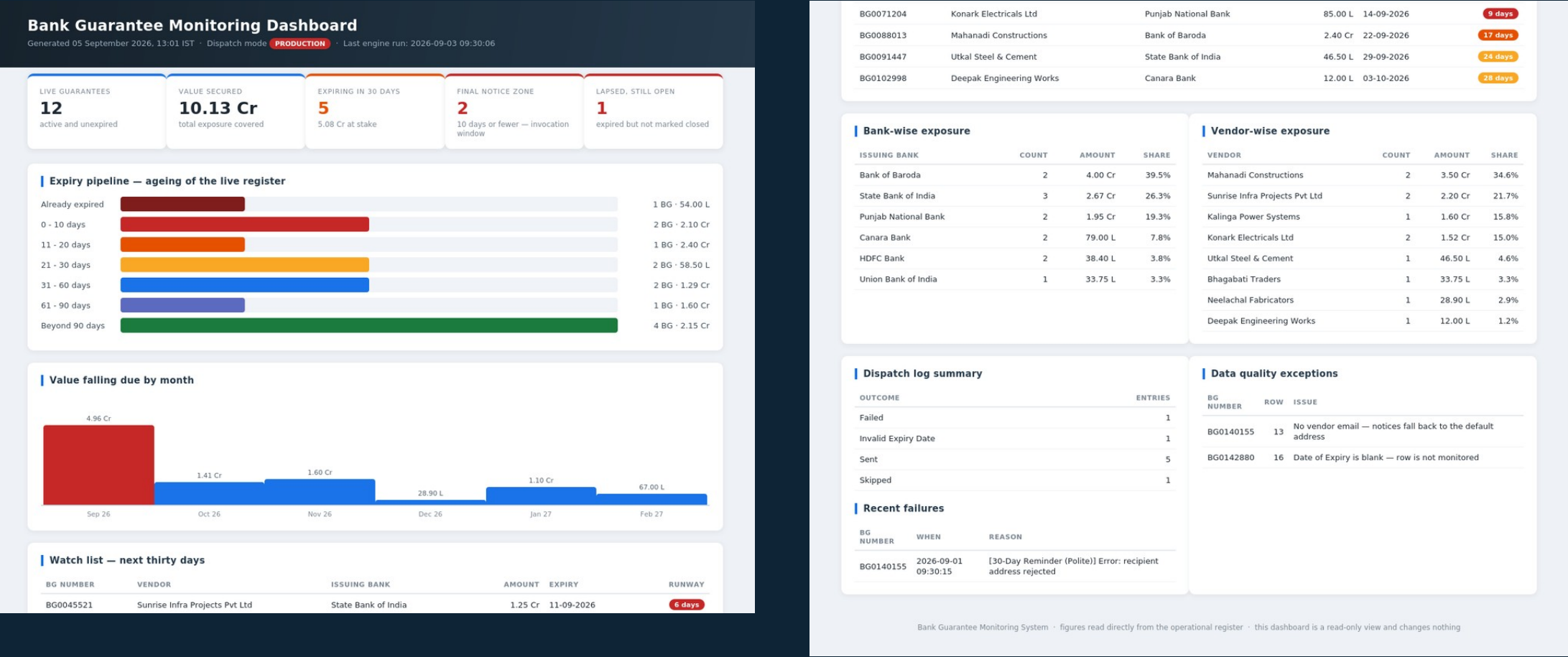
Dashboard

Always safe

Builds the management view. Read-only.

The password box is empty at every launch by design — the credential is never written to the workstation's disk by the application.

Exposure, ageing and evidence — on one page



What the auditor can test, and how

BG_Email_Log

Log ID · record key · guarantee number · expiry · timestamp in IST ·
despatch mode · outcome · full error text

Appended, never edited. Reconcilable line by line to the gateway's sent items.

Segregation that survives inspection

- Config, Holidays and the log are protected sheets — administrator only
- IFSC reference tabs and derived columns locked against overtyping
- The engine can append to the log and do nothing else to the workbook
- Credentials are scoped: sheet access and mail despatch are separate keys

Ten defined tests sit in the manual's IFC checklist, each with a procedure and a pass criterion:

 Chronological validation	Quarterly
 Evidentiary despatch trail	Quarterly
 Escalation sequence	Half-yearly
 IFSC master currency	Half-yearly
 Invocation clause integrity	Half-yearly
 Physical vault reconciliation	Half-yearly
 Schedule operation	Monthly

A custodial obligation, converted into an evidenced and testable control



Adequate by design

Six validation gates, three escalation tiers, one-directional and holiday-adjusted, with wording no operator can vary.



Effective in operation

An immutable log reconcilable to the despatch gateway, and ten defined tests with stated pass criteria.



Visible to management

Exposure by bank, by vendor and by month, with data quality exceptions surfaced rather than buried.

The board's assertion under Section 134(5)(e) is not that nothing went wrong. It is that a control was designed, was operating, and can be shown to have operated. That is what this system produces.